APPROVED ON APRIL 1, 2026
BY THE BOARD OF COUNTY COMMISSIONERS
AT THE WEEKLY BUSINESS SESSION

Budget Workshop:
March 25, 2026
1:30 p.m. – Board of Commissioners Conference Room
Attending: Commissioners Ron Smith, Colene Martin, and Gary Richardson and Kassie Austin as Recorder

The meeting was called to order at 1:30 p.m.

1. Budget Workshop
Ruth Nelson, Finance Director, presented the second scheduled budget workshop for fiscal year 2026–2027. She outlined that the workshop would focus on reviewing key reserve funds, discussing rate structures and general fund allocations, and initiating discussion on overarching budget goals. Ms. Nelson noted that additional workshops may be necessary to complete the process depending on the level of discussion and direction provided by the Board.

Ms. Nelson reviewed the Forestry Reserve Fund, which is supported by timber revenue and must maintain a minimum balance of $5 million to sustain Forestry operations. The projected ending balance is approximately $6 million. The Board discussed how excess funds above the minimum could be used and expressed interest in a more consistent, multi-year approach to supporting the Juvenile and Veterans departments rather than large one-time transfers.

The Roads and Bridges Reserve was presented with a projected balance of approximately $6 million. The fund supports major infrastructure repairs, including bridges and emergency response needs. The Board discussed the importance of long-term planning for infrastructure and requested additional information on future project needs and potential funding gaps. Declining gas tax revenue and its impact on the fund were also noted.

Discussion included the timing of capital projects, with Commissioners noting that delays can increase costs over time. Staff explained that project timelines are often affected by emergencies and competing priorities. The Board encouraged improved planning to better balance urgent needs with known long-term obligations.

Ms. Nelson reviewed the Property Reserve Fund, with an estimated balance of $4.7 million. The fund supports facility repairs and property-related needs. Two items were identified for future discussion: an airport-related balance requiring clarification and unreimbursed solid waste cleanup costs.

The Equipment Reserve Fund was presented as a resource for large equipment purchases and system upgrades. Recent purchases reduced the current balance. The Board requested additional detail in future meetings regarding committed versus available funds.

Ms. Nelson presented a proposed ISF rate of 9.5% to support central services such as Finance, IT, HR, Legal, and the Board's Office. The Board discussed the purpose of the rate and noted that current balances suggest slight over-collection in prior years. The proposed rate was generally supported.

The Board emphasized several key priorities moving forward, including the need to establish clearer reserve targets, improve visibility of fund obligations and commitments, strengthen long-term

infrastructure planning, and better balance immediate operational needs with future financial impacts. The Board directed staff to continue refining financial projections, provide additional detail regarding reserve fund obligations, and return with further analysis during upcoming budget discussions.

The meeting was adjourned at 3:04 p.m.

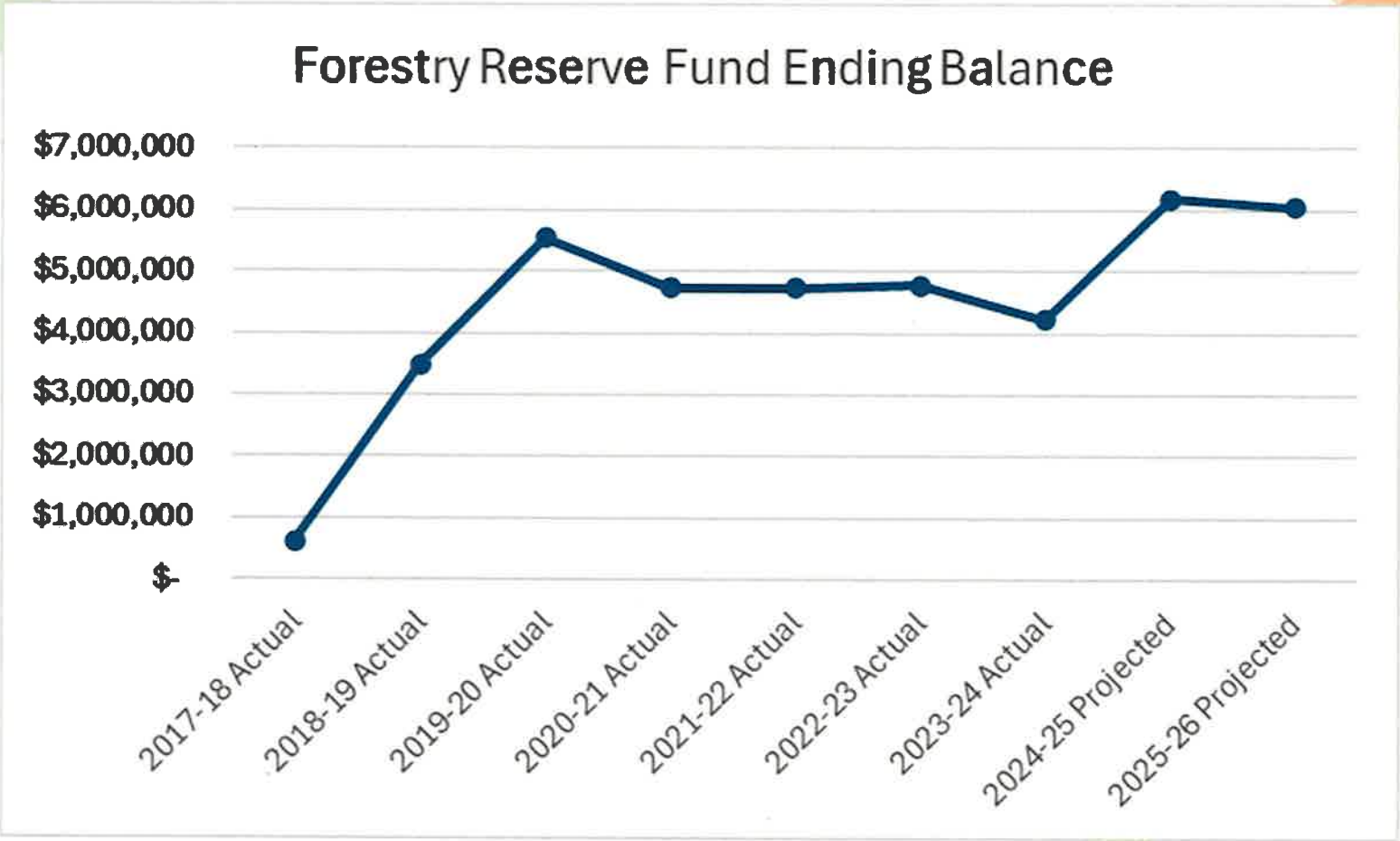
Exhibit 1: PowerPoint Presentation

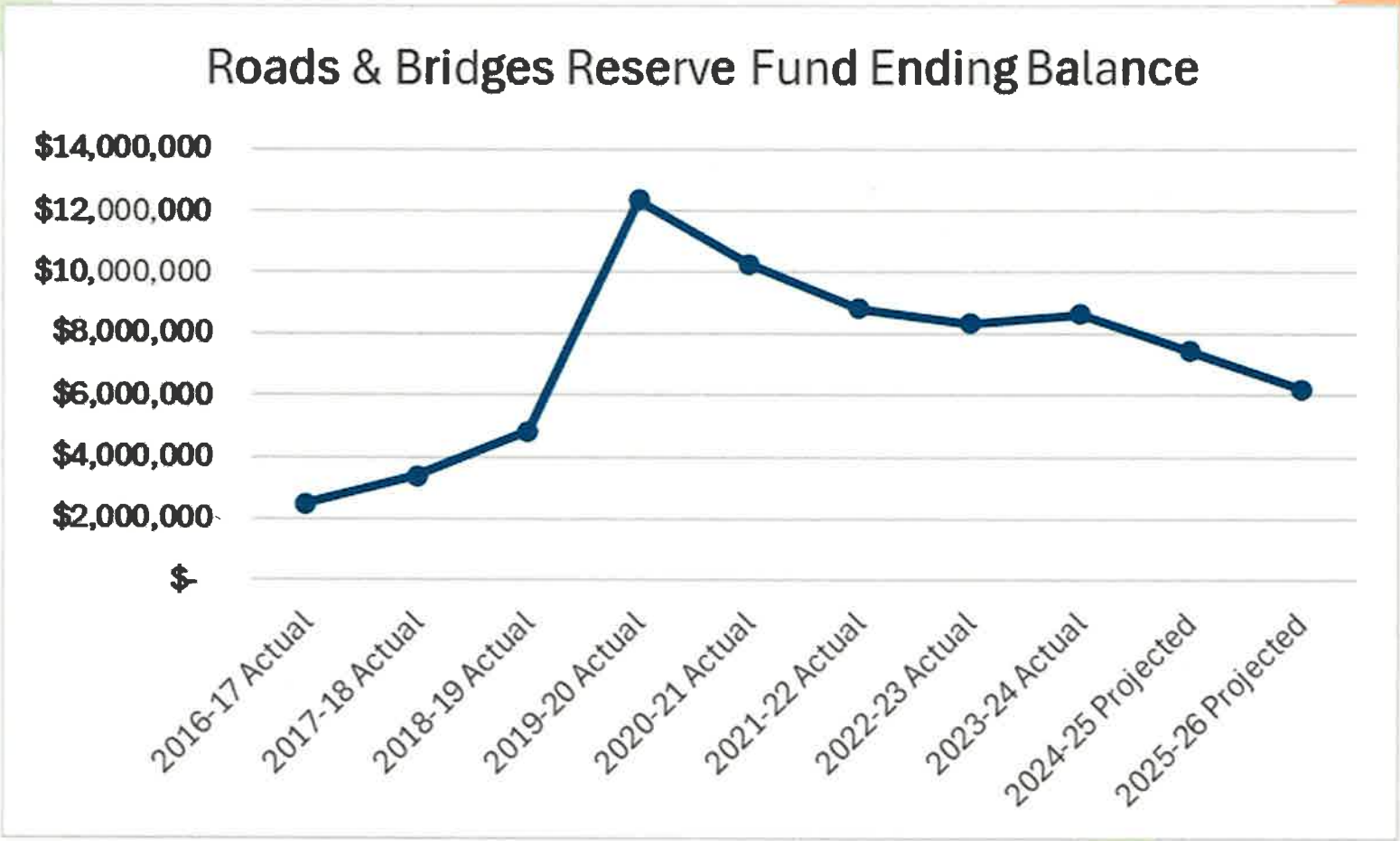
Budget Workshop
March 25, 2026
Exhibit 1

Budget Workshop
FY 2026-27

March 25, 2026

JOSEPHINE COUNTY


Forestry Reserve Fund Ending Balance
$7,000,000
$6,000,000
$5,000,000
$4,000,000
$3,000,000
$2,000,000
$1,000,000
$-
2017-18 Actual
2018-19 Actual
2019-20 Actual
2020-21 Actual
2021-22 Actual
2022-23 Actual
2023-24 Actual
2024-25 Projected
2025-26 Projected


Roads & Bridges Reserve Fund Ending Balance
$14,000,000
$12,000,000
$10,000,000
$8,000,000
$6,000,000
$4,000,000
$2,000,000
$-
2016-17 Actual
2017-18 Actual
2018-19 Actual
2019-20 Actual
2020-21 Actual
2021-22 Actual
2022-23 Actual
2023-24 Actual
2024-25 Projected
2025-26 Projected

Property Reserve Fund Balance

General Government	872,284
Facilities	3,369,889
Airports - loans for Caretaker residences	(572,508)
Solid Waste Clean-ups	(1,628,154)
All other departments	2,688,699
Total Projected Fund Balance	**4,730,210**

Equipment Reserve Fund Balance

General Government	337,689
Public Works	858,000
Public Works - Fleet	827,000
All other departments	380,336
Total Projected Fund Balance	**2,403,025**

Decisions

General Fund Balance

- Contingency: 15%, approx. $1.2 million
- Unappropriated: cash flow until tax collection, approx. $9.2 million
- Reserved for Future Exp: approx. $10.9 million, LE 5 yrs sustain.

General Fund Allocation

- Status quo, new FTE's requested during Budget Committee
- Exceptions (for example: Law Enforcement departments)

Rates

- ISF (9.5%), Insurance (13% inc.), Leave Liability (3.5%), Facilities Operating ($0.90/sq ft) & Depreciation ($0.40/sq ft), Fleet as presented

Budget Goals

- Budget Workshop April 7th if needed

Revised Budget Goal #1

Improve community outreach and communication by requiring every County Department to identify, implement, and publicly report on **exactly two efficiency initiatives each year:**

- **One Enhanced-Services Initiative** that directly improves citizen access, engagement, or service quality (e.g., better digital tools, public dashboards, open data portals, 48-hour inquiry response protocols, expanded outreach, staff professionalism training); and
- **One Low-Cost Initiative** that reduces unit costs or improves efficiency while maintaining or improving service levels (e.g., process automation, benchmarking against industry standards, or evaluating alternative service-delivery models).

Priorities include: (a) balanced funding and operational coordination among the Jail, District Attorney, and Sheriff to maintain county-wide public safety, and (b) support for community events such as airshows. Departments will track measurable improvements such as public engagement metrics and citizen satisfaction scores.

Revised Budget Goal #2

Develop and maintain a multi-year sustainable operational and funding plan for all mandated and essential County government programs, with explicit emphasis on infrastructure and public-safety balance. Each department must conduct an annual review and propose specific, funded actions including:

- Achieve and sustain a law-enforcement response time goal in Cave Junction for at least 40 hours per week;
- Construct a new Animal Shelter facility financed through Full Faith and Credit bonds;
- Solve the sewage problem for the North Valley area; and

Plans must demonstrate long-term fiscal viability without unsustainable reliance on one-time revenues.

Goal Alignment

To ensure alignment, every Department Head shall:

- Submit a one-page "Goal Alignment Matrix" with each budget request that explicitly shows:
  - Which County Goal the request supports,
  - Exact contribution to the County Goal with dollar amounts and timelines, and
  - A brief "Efficiency Review Summary" section presenting unit-cost benchmarking data and any identified opportunities for improved service delivery.
- Include these priorities in all internal performance evaluations and strategic plans.
- Report quarterly progress to the Budget Officer and Board of Commissioners using a standardized template.

Budget Calendar

- March 27th: Departments receive budget forms with rates & instructions
- April 7th: Budget Workshop (if needed)
- April 17th: Department budgets are due to Finance
- May 19th: Budget Committee Meetings begin and continue for the next few weeks
- June 17th: Budget Hearing at WBS
- June 24th: Budget Adoption at WBS